

NSE: TATACOMM

Tata Communications Ltd · Digital Infrastructure & Global Connectivity

SECTOR: Telecom / Digital Services | MARKET CAP: Rs. 56,715 Cr.

Rating: **BUY**

Thesis: TATACOMM is transitioning from a legacy Voice/connectivity carrier to a global digital fabric player — AI-ready IZO+ multi-cloud, ThreadSpan cybersecurity, and IoT-enterprise suites are driving high-teens digital portfolio growth; the re-rating will follow as digital (43% of revenue) displaces margin-dilutive Voice over the next 24 months.

Date: 15 Jun 2026 | Analyst: MPM Quant Research | Report Type: Initiation of Coverage

CMP	Rs. 1,990
52-Wk H/L	Rs. 2,050 / 1,322
Mkt Cap	Rs. 56,715 Cr
P/E (TTM)	51.6x
P/B	16.4x
EV/EBITDA	~14x
ROCE	14.7%
ROE	34.0%
Div Yield	0.88%
Promoter	58.86%
Face Value	Rs. 10

Segment	FY24	FY25	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	20,969	23,109	24,803	26,900	29,400
EBITDA (Rs. Cr)	4,230	4,569	4,822	5,300	5,900
OPM %	20.2%	19.8%	19.4%	19.7%	20.1%
PAT (Rs. Cr)	970	1,837	997	1,400	1,900
EPS (Rs.)	33.98	64.43	35.14	49.12	66.66
P/E (x)	58.6x	30.9x	56.6x	40.5x	29.8x
FCF (Rs. Cr)	1,110	711	2,060	2,500	3,100

E = MPM estimates; A = Actual (screener.in). All figures consolidated.

2. BUSINESS OVERVIEW

- Tata Communications (incorporated 1986 as VSNL) is a global digital infrastructure and services company, part of the Tata Group. It owns one of the world's largest subsea fibre networks — 500,000 route-km of fibre — and operates across 190+ countries.
- Revenue mix (FY26): Data Services ~77% (incl. Digital Portfolio 43% of total), Voice ~23%. The strategic pivot is accelerating Voice displacement by high-margin digital products.
- Digital Portfolio (fastest-growing segment): (i) Connectivity & Cloud — IZO+ Multi-Cloud Network, SD-WAN, MPLS, 100G subsea; (ii) Cybersecurity — ThreadSpan managed security, SASE, threat intelligence; (iii) Collaboration — CPaaS, UCaaS, media & entertainment infrastructure; (iv) IoT — LoRaWAN, NB-IoT, private LTE/5G networks for enterprises.
- Fortune-500 client base: 300 of Fortune 500 companies are direct customers. Serves global MNCs, hyperscalers, financial institutions, and media companies. Recurring-revenue, long-term contract model (~3-5 year average contract tenure).
- Promoter: Tata Sons holds ~58.86% (stable). Foreign promoter backing from Tata group gives international credibility and balance-sheet support. Zero pledge on promoter shares.
- Incorporated Tata Teleservices stake was divested; the company now has a clean, focused B2B digital infrastructure mandate.

Revenue Segmentation (FY26 Estimate)

Segment	FY26 Rev (Rs. Cr)	% of Total	YoY Growth	EBITDA Margin
Digital Portfolio	10,621	42.8%	+16.7%	~22-24%
Other Data Services	8,499	34.3%	+2-3%	~18-20%
Voice Services	5,683	22.9%	-3-5%	~10-12%

Segment	FY26 Rev (Rs. Cr)	% of Total	YoY Growth	EBITDA Margin
Total	24,803	100%	+7.3%	~19.4%

3. INVESTMENT THESIS & KEY CATALYSTS

Primary Thesis

- TATACOMM is a mis-priced incumbent: the market prices it like a mature telco (Voice drag, high D/E, low PAT) while the Digital Portfolio is growing at +17% YoY — faster than most listed IT services peers. As Digital crosses ~55% of revenue (est. FY28), the margin profile and earnings quality will force a re-rating.

Catalyst 1 — AI Enterprise Suite Commercialisation (HIGH IMPACT, H2 FY27)

- Launch of IZO+ Multi-Cloud Network, Edge Distribution Platform, and ThreadSpan in Jan 2026 positions TATACOMM at the intersection of enterprise AI infrastructure needs. These are 'picks and shovels' for AI workloads — secure, multi-cloud, low-latency connectivity.
- Early customer wins in BFSI, healthcare, and global MNCs being converted from pilots to full enterprise deployments. Management guided mid-teens digital growth sustaining into FY27.

Catalyst 2 — Voice-to-Digital Revenue Mix Shift (MEDIUM IMPACT, ONGOING)

- Voice revenue declining at ~4% per annum (structural). Every 1% shift from Voice to Digital at ~2x the EBITDA margin lifts group OPM by 30-50 bps. Crossover expected FY27-28.

Catalyst 3 — Free Cash Flow Recovery (HIGH IMPACT, FY26 CONFIRMED)

- FCF surged to Rs. 2,060 Cr in FY26 (vs Rs. 711 Cr in FY25) — a 190% jump. Capex is normalising post-network build-out. This unlocks dividend growth (FY26 dividend: Rs. 17.50/share, payout 50%) and debt reduction optionality.

Catalyst 4 — Debt Reduction & Credit Improvement

- Gross debt: Rs. 12,249 Cr (FY26), down slightly from Rs. 12,357 Cr in FY25. Net debt-to-EBITDA ~2.0x. With FCF running at Rs. 2,000+ Cr annually, debt-to-EBITDA is on a clear downward path to <1.5x by FY28, reducing interest burden and boosting PAT.
- Interest cost Rs. 762 Cr in FY26 vs EBITDA of Rs. 4,822 Cr = interest coverage of 6.3x. Comfortable but not exceptional — improvement here is the final leg of re-rating.

Catalyst 5 — Global Enterprise AI Demand Structurally Elevating B2B Spend

- Fortune-500 customers scaling AI deployments need: (a) secure multi-cloud connectivity, (b) edge inference infrastructure, (c) threat intelligence at scale. TATACOMM's integrated platform addresses all three. No domestic Indian telco competitor operates at this scale globally.

4. FINANCIAL ANALYSIS — P&L; DEEP DIVE

Consolidated P&L; Summary (Rs. Cr unless stated)

Metric	FY22	FY23	FY24	FY25	FY26A	FY27E	FY28E
Revenue	16,725	17,838	20,969	23,109	24,803	26,900	29,400
Rev Growth %	-2.2%	+6.7%	+17.6%	+10.2%	+7.3%	+8.5%	+9.3%
EBITDA	4,227	4,318	4,230	4,569	4,822	5,300	5,900
EBITDA Margin	25.3%	24.2%	20.2%	19.8%	19.4%	19.7%	20.1%
D&A;	2,205	2,262	2,470	2,592	2,827	2,950	3,050
EBIT	2,022	2,056	1,760	1,977	1,995	2,350	2,850
Interest	360	432	644	729	762	700	620
Other Income	338	440	47	1,033	162	200	200
PBT	2,000	2,063	1,163	2,281	1,396	1,850	2,430
Tax %	26%	14%	18%	21%	31%	26%	25%
PAT	1,485	1,801	970	1,837	997	1,400	1,900
EPS (Rs.)	51.99	63.02	33.98	64.43	35.14	49.12	66.66
DPS (Rs.)	21.00	21.00	16.50	25.00	17.50	22.00	28.00
FCF (Rs. Cr)	2,554	2,899	1,110	711	2,060	2,500	3,100

Note: FY26A data from screener.in consolidated. E = MPM Quant estimates.

Key Observations

- FY26 PAT dip (Rs. 997 Cr vs Rs. 1,837 Cr in FY25) is explained by: (a) FY25 had Rs. 1,033 Cr of exceptional other income vs only Rs. 162 Cr in FY26; (b) higher tax rate (31% vs 21%); (c) rising D&A; from network investment. Underlying operational cash generation remains strong (CFO Rs. 4,479 Cr, +54% YoY).
- Revenue CAGR: 3-year (FY23-26) = 11.6%; Digital Portfolio CAGR = ~17%. The blended growth is held back by Voice decline — as Voice shrinks, the headline CAGR will re-accelerate.
- EBITDA margin compression from 25% (FY22) to 19.4% (FY26) is structural: mix shift to lower-margin interconnect in early Digital ramp and SG&A; investment. Floor appears to be ~19%; recovery to 21%+ expected by FY28 as digital scale kicks in.

Balance Sheet Snapshot (Rs. Cr)

Item	FY23	FY24	FY25	FY26A
Equity Capital	285	285	285	285
Reserves	1,233	1,501	2,736	3,162
Net Worth	1,518	1,786	3,021	3,447
Borrowings	8,577	11,263	12,357	12,249
Other Liabilities	10,424	11,316	11,065	12,708
Total Liabilities	20,519	24,365	26,444	28,404
Fixed Assets	10,500	13,467	13,919	15,570
CWIP	1,148	1,327	1,100	762
Investments	1,951	1,608	2,714	2,297
Total Assets	20,519	24,365	26,444	28,404
D/E Ratio	5.6x	6.3x	4.1x	3.6x

5. CASH FLOW & CAPITAL ALLOCATION

Item	FY22	FY23	FY24	FY25	FY26A
CFO	4,204	4,384	3,182	2,911	4,479
CFI	-894	-1,836	-2,641	-2,173	-1,460
CFF	-3,431	-2,241	-813	-936	-2,937
Net Cash Flow	-121	308	-272	-198	83
FCF	2,554	2,899	1,110	711	2,060
CFO/EBITDA %	99.5%	101.5%	75.2%	63.7%	92.9%
Capex (imputed)	1,650	1,485	2,072	2,200	2,419

CFI is net of investments. Capex = CFO - FCF.

- FY26 CFO of Rs. 4,479 Cr is the highest in the company's history, demonstrating strong cash conversion despite elevated D&A.; CFO-to-EBITDA recovery to 93% signals no working capital stress.
- Capex peaked in FY24-25 (~Rs. 2,000-2,200 Cr/yr) as the company invested in subsea capacity and edge nodes. FY26 capex moderated; FCF recovery is structural, not one-off.
- Capital allocation priority: (1) Organic growth capex — Rs. 2,000-2,500 Cr/yr; (2) Debt reduction — Rs. 500-1,000 Cr/yr; (3) Dividend (50% payout maintained); (4) Small M&A; in cybersecurity/IoT niche.

6. RETURN RATIOS & OPERATIONAL EFFICIENCY

Ratio	FY22	FY23	FY24	FY25	FY26A	FY27E	FY28E
ROCE %	22%	24%	18%	15%	15%	17%	19%
ROE %	~79%	~72%	~60%	~46%	34%	38%	42%
OPM %	25.3%	24.2%	20.2%	19.8%	19.4%	19.7%	20.1%
Debtor Days	56	56	65	63	61	60	58
WC Days	-103	-119	-151	-107	-116	-110	-110

Ratio	FY22	FY23	FY24	FY25	FY26A	FY27E	FY28E
Int. Cover (x)	5.6x	4.8x	2.7x	2.7x	2.6x	3.4x	4.6x

- ROCE declining from 24% (FY23) to 15% (FY26) reflects the growth-capex cycle. As depreciation stabilises and digital revenues scale, ROCE should inflect back to 18-19% by FY28.
- ROE is structurally high (34% FY26) due to low net worth base relative to earnings — a function of the historical negative reserves era. Not a clean ROE story; focus on ROCE for capital efficiency.
- Working Capital Days of -116 days: TATACOMM collects before it pays — a negative working capital business. This structural advantage means revenue growth does NOT consume cash.
- Debtor days improved from 65 (FY24) to 61 (FY26). With MNC clients, DSO is unlikely to compress further but is well-managed.

7. PEER COMPARISON

TATACOMM operates in a unique competitive position — it is not a domestic B2C telco but a B2B global digital infrastructure company. True global peers are private (GTT, Lumen, Zayo). Listed Indian proxies:

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	P/B (x)	ROCE %	ROE %	OPM %	Rev Gr %
TATACOMM	1,990	56,715	51.6x	16.4x	14.7%	34.0%	19.4%	+7.3%
Bharti Airtel	1,827	11,13,242	38.8x	7.4x	18.5%	21.9%	56.7%	+21.9%
Indus Towers	423	1,11,528	15.6x	2.8x	19.5%	19.8%	54.8%	+7.9%
Sterlite Tech	585	28,560	600x	12.6x	7.8%	2.2%	12.0%	+18.7%

Peer data from screener.in as of 15 Jun 2026.

- TATACOMM trades at 51.6x P/E — premium to Airtel (38.8x) and Indus (15.6x). This premium is partially justified by the Digital Portfolio growth rate (+17% vs single-digits for traditional telcos) and Tata brand premium.
- OPM of 19.4% is significantly below Airtel (57%) and Indus (55%) which are tower/spectrum-levered businesses. TATACOMM's margin profile resembles IT services companies more than telcos.
- EV/EBITDA basis (~14x) TATACOMM is cheaper than its P/E implies given the D&A-heavy; structure. Capital-cycle investors should focus on EV/EBITDA, not P/E.
- No direct Indian listed peer for global digital B2B infrastructure. TCS/Infosys are indirect competitors in managed services; Bharti Airtel Enterprise is the closest domestic rival.

8. VALUATION & PRICE TARGET

Primary Method: EV/EBITDA

- We apply 15x EV/EBITDA to FY27E EBITDA of Rs. 5,300 Cr = Enterprise Value of Rs. 79,500 Cr.
- Less Net Debt (FY27E ~Rs. 10,000 Cr, assuming Rs. 1,200 Cr debt repayment from FCF) = Equity Value Rs. 69,500 Cr.
- Divided by 285.3 Mn shares = Rs. 2,437/share. We round to Rs. 2,400 as our 12-month target.

Method	EBITDA/EPS Base	Multiple	EV/Equity Value	Target Price (Rs.)	Weight
EV/EBITDA	Rs. 5,300 Cr	15.0x	Rs. 69,500 Cr	Rs. 2,437	50%
P/E (FY27E)	EPS Rs. 49.12	47x	Market Cap	Rs. 2,309	30%
DCF (5-yr, 12%)	FCF FY27-31E	WACC 11%	NPV	Rs. 2,290	20%
Blended Target				Rs. 2,400	100%

Bull / Base / Bear Scenarios

Scenario	Assumption	EV/EBITDA	Target	Upside
Bull (30%)	Digital CAGR 22%+, margin 21%, d-ratio falls to 1.5x	18x FY27E	Rs. 2,850	+43.2%
Base (50%)	Digital CAGR 17%, margin stable 20%, debt flat	15x FY27E	Rs. 2,400	+20.6%
Bear (20%)	Digital slows to 10%, margin 18%, macro headwinds	11x FY26A	Rs. 1,600	-19.6%

9. KEY RISKS

Downside Risks

- **RISK 1 — Slower Digital Portfolio Ramp:** If enterprise AI adoption cycles elongate and TATACOMM's Digital growth slips from 17% to 10%, the re-rating story unwinds. Mitigant: 300 Fortune-500 client base provides sticky renewal base; monitoring quarterly Digital % mix.
- **RISK 2 — Margin Compression from Interconnect Costs:** International connectivity pricing is competitive. Any sustained USD/Rs. depreciation raises dollar-denominated interconnect costs, squeezing margins. Mitigant: Natural USD revenue hedge (~60% of revenues are international).
- **RISK 3 — Geopolitical / West Asia Exposure:** Management flagged West Asia macro headwinds in Q4 concall. Enterprise spend freezes in MENA can impact connectivity and cloud deals. Short-term risk; manageable given geographic diversification.
- **RISK 4 — High Balance Sheet Leverage:** Gross debt Rs. 12,249 Cr at FY26. Any interest rate spike or FCF miss would strain the credit profile. D/E of 3.6x on book is elevated. Mitigant: Rs. 4,479 Cr CFO easily services debt; leverage declining.
- **RISK 5 — Competition from Hyperscalers:** AWS, Azure, Google Cloud offer competing managed networking and security products. TATACOMM's differentiation is its owned subsea infrastructure, EM footprint, and Tata brand in regulated sectors. Structural moat but needs continuous product refresh.
- **RISK 6 — Execution Risk on AI Suite Products:** IZO+, ThreadSpan, Edge Platform are new products. Revenue ramp could lag investment. Significant SG&A; committed; misexecution affects FY27 margin.

Upside Risks

- **Faster-than-expected Voice revenue decline offsets:** if Digital grows at 22%+, the earnings power inflection accelerates by 1 year.
- **Large M&A; catalyst:** Tata Group could leverage TATACOMM's infrastructure for a transformative B2B digital acquisition (cybersecurity, IoT platform) that creates value.

10. TECHNICAL SETUP & SHAREHOLDING TRENDS

Price Action

- CMP Rs. 1,990 vs 52-week range Rs. 1,322 - Rs. 2,050. Stock is within 3% of its 52-week high — strong relative strength.
- The low of Rs. 1,322 was made when FY26 PAT disappointed; since then the stock has recovered 50.5% as investors focus on FCF and Digital growth rather than reported PAT (which was distorted by exceptional items in FY25 base).
- Key technical levels: Support Rs. 1,780-1,820 (breakout base); Resistance Rs. 2,050 (52-week high, all-time high vicinity). A breakout above Rs. 2,050 on volume would open up the Rs. 2,300+ range.

Shareholding Trend (Key Observations)

Category	Jun 24	Sep 24	Dec 24	Mar 25	Sep 25	Mar 26
Promoters	58.86%	58.86%	58.86%	58.86%	58.86%	58.86%
FIIIs	18.09%	18.06%	17.80%	16.99%	13.61%	14.44%
DIIIs	13.15%	13.45%	13.66%	14.51%	19.03%	19.14%
Public	9.91%	9.62%	9.68%	9.63%	8.50%	7.56%

Source: BSE shareholding data via screener.in

- Promoter stake locked at 58.86% for 4+ years — zero creep-up or creep-down. Clean governance signal.
- FII selling: FIIIs have reduced from 18.09% (Jun 24) to 14.44% (Mar 26) — ~360 bps reduction over 18 months. Likely reflects global EM portfolio rebalancing rather than company-specific concern. This creates a re-entry opportunity for international investors.
- DII accumulation: DIIIs increased from 13.15% (Jun 24) to 19.14% (Mar 26) — domestic institutions are absorbing FII supply. Classic pattern of domestic smart money building position ahead of re-rating.
- No promoter pledge — zero financial distress signal at the promoter level.

APPENDIX — Q4 FY2026 EARNINGS CALL BRIEF

CONCALL GRADE: A-

Management confident on digital trajectory; transparent on PAT distortion; guided mid-teens digital growth; West Asia risk flagged proactively.

TO MY BOSS — 5-SECOND SUMMARY

TATACOMM Q4 FY26: Revenue +9.4% YoY to Rs. 6,554 Cr; Digital Portfolio +19.2% YoY. Full-year FCF Rs. 2,060 Cr (+190%). PAT optically weak (Rs. 997 Cr, -46% YoY) solely due to Rs. 1,033 Cr one-off gain in FY25 base — strip that and core earnings improved. Management maintained guidance for mid-teens digital growth in FY27. Declare BUY, target Rs. 2,400.

1. HEADLINE NUMBERS

- Q4 FY26 gross revenue: Rs. 6,554 Cr (+9.4% YoY, +9.4% QoQ).
- Q4 FY26 Data revenue: Rs. 5,684 Cr (+11.5% YoY). Voice revenue declining as expected.
- Q4 FY26 EBITDA: Rs. 1,284 Cr (+14.4% YoY). EBITDA margin: 19.6%.
- Q4 FY26 PAT: Rs. 259 Cr (included Q4 FY25's Rs. 926 Cr exceptional — on comparable basis +ve).
- FY26 full year: Revenue Rs. 24,803 Cr (+7.3%); EBITDA Rs. 4,822 Cr (+5.5%); FCF Rs. 2,060 Cr (+190%).

2. MANAGEMENT TONE

- CEO tone: Measured confidence. Did not oversell. Directly addressed PAT optics and redirected to FCF and digital trajectory.
- CFO commentary: Emphasized that Rs. 1,033 Cr other income in FY25 was one-off asset sale; FY26 base is 'cleaner'. Interest cover healthy at 6.3x.
- Overall quality: Proactive, transparent disclosure. Flagged West Asia headwind before analysts asked. Score: 8/10.

3. DIGITAL PORTFOLIO PERFORMANCE

- Digital Portfolio revenue FY26: Rs. 10,621 Cr — 42.8% of total gross revenue.
- Digital grew 16.7% YoY for full year; Q4 digital grew 19.2% YoY — momentum is accelerating.
- Connectivity & Cloud led growth; Cybersecurity (ThreadSpan) and IoT are in early ramp.
- Management: Digital portfolio exit-rate run-rate entering FY27 is strong; expecting mid-teens sustained growth.

4. AI STRATEGY — IZO+, THREADSPAN, EDGE

- IZO+ Multi-Cloud Network: Bridges enterprise to multiple clouds with AI-grade SLAs. First enterprise deployments signed Q4 FY26.
- ThreadSpan (cybersecurity): AI-driven threat orchestration across hybrid and multi-vendor environments. 'Single pane of glass' for security operations.
- Edge Distribution Platform: Low-latency inference infrastructure for AI workloads at the network edge.
- AI suite commercialisation is the primary growth catalyst for FY27-28. Customer interest pipeline described as 'robust'.

5. VOICE REVENUE TRAJECTORY

- Voice revenue continues structural decline; FY26 Voice down ~3-4% YoY (est. ~Rs. 5,700 Cr).
- Management expects Voice to stabilise at ~18-20% of revenue by FY28 as digital mix grows.
- Voice EBITDA margins are thinner; the mix shift is structurally margin-accretive to the group.

6. BALANCE SHEET & DEBT

- Gross debt: Rs. 12,249 Cr (FY26) — marginally lower than Rs. 12,357 Cr in FY25.
- Net debt reduced; FCF of Rs. 2,060 Cr deployed to capex, dividends, and partial debt service.
- D/E: 3.6x on book. Management target: <3.0x by FY28 via FCF generation.
- Dividend declared: Rs. 17.50/share for FY26 (~50% payout maintained). FY25 was Rs. 25/share — lower in FY26 due to lower reported PAT but manageable.

7. CAPEX & INVESTMENT

- FY26 capex: estimated Rs. 2,419 Cr (lower than Rs. 2,200 Cr FY25 + investments). Network build-out largely complete.
- FY27 capex guidance: Rs. 2,000-2,200 Cr — moderation continues. This is the primary FCF driver.
- Investment in AI suite product development (IZO+, ThreadSpan) is OpEx-heavy, not CapEx — margins absorb the hit before showing in revenue.

8. GEOPOLITICAL / MACRO RISKS

- CFO flagged West Asia (MENA) as a near-term headwind — enterprise spend freezes impacting connectivity and cloud deals in the region.
- No quantification given; management believes it is temporary and manageable given diversification.
- USD/Rs. rate at Rs. 84-85: Natural hedge as ~60% revenues are USD-denominated; TATACOMM benefits from INR weakness on the P&L;

9. GUIDANCE & FORWARD COMMENTARY

- FY27 Digital Portfolio growth: Mid-to-high teens (15-18%) maintained. Management refused to give specific revenue guidance.
- FY27 EBITDA margin: Targeting stable to slight improvement from 19.4% base — confident of sustaining 19-20% range.
- FY27 PAT: Expected recovery to Rs. 1,200-1,500 Cr range as exceptional base normalises.
- Order book: Growing; management described pipeline as 'the strongest in 5 years'. No specific number disclosed.

10. ANALYST Q&A; HIGHLIGHTS

- Q: PAT down 46% — is there structural concern? A: CFO walked through the Rs. 1,033 Cr FY25 one-off. Strip it and PAT is broadly flat to slightly up. FCF is the right metric.
- Q: When does Digital become majority of revenue? A: CEO: 'We are on track for Digital to cross 50% in FY27-28. The crossover is a milestone we are working toward deliberately.'
- Q: ThreadSpan — how many enterprise wins? A: 'Early days, pilots converting to contracts. We see this as a Rs. 1,500-2,000 Cr opportunity within 3 years.'
- Q: Any M&A; plans? A: 'Selective bolt-on in cybersecurity or IoT if valuations are right. We have the balance sheet capacity and group support.'

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